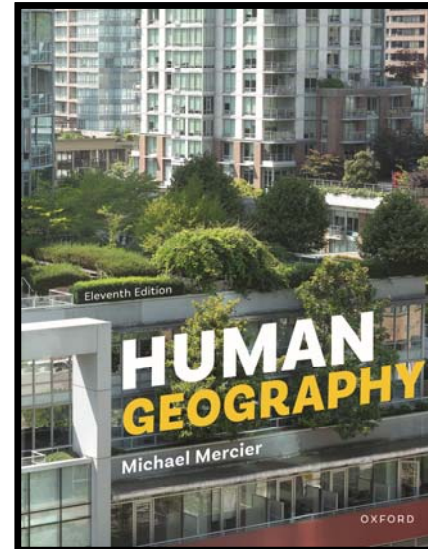
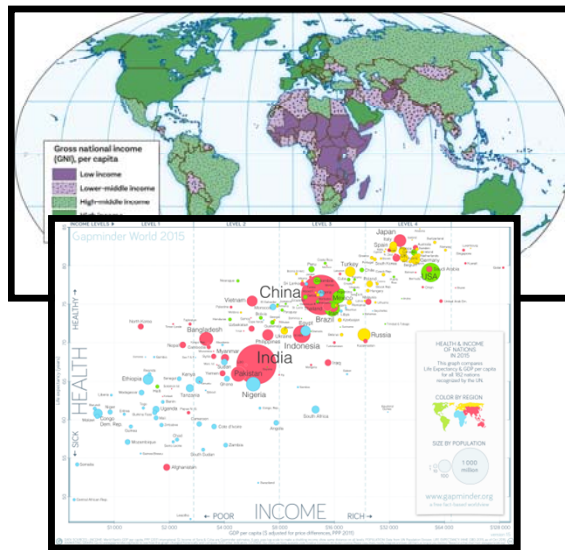


ENVSOCTY 1HB3: POPULATION, CITIES & DEVELOPMENT

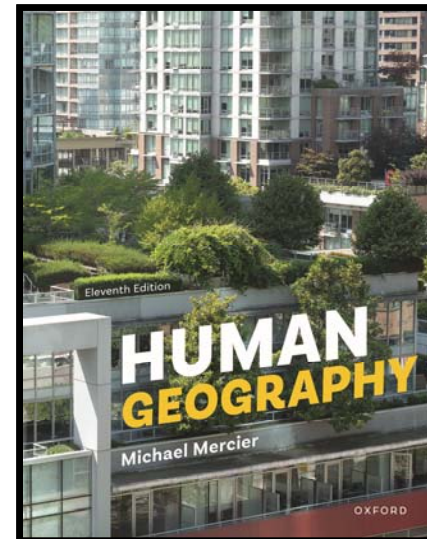
Development & Inequality: Measuring Economic & Social Development



Dr. MICHAEL MERCIER

Outline:

- ▶ Introduction: Recall Development
- ▶ Measuring Development: **Economic Tools**
 - Global Income Inequality: GNI & PPP, DollarStreet, etc.
- ▶ Measuring Development: **Social Tools**
- ▶ Measuring Development: **Social & Economic Tools**
 - Global Social Inequality: HDI
 - Addressing Inequality: IHDI & GII
- ▶ Summary/Conclusion
- ▶ Readings: *Chapter 5*



Introduction

- ▶ Spatial variations in terms of well-being
- ▶ Various spatial scales
- ▶ Well-being and levels of development



Measuring Development: Economic Tools

► Measuring Development:

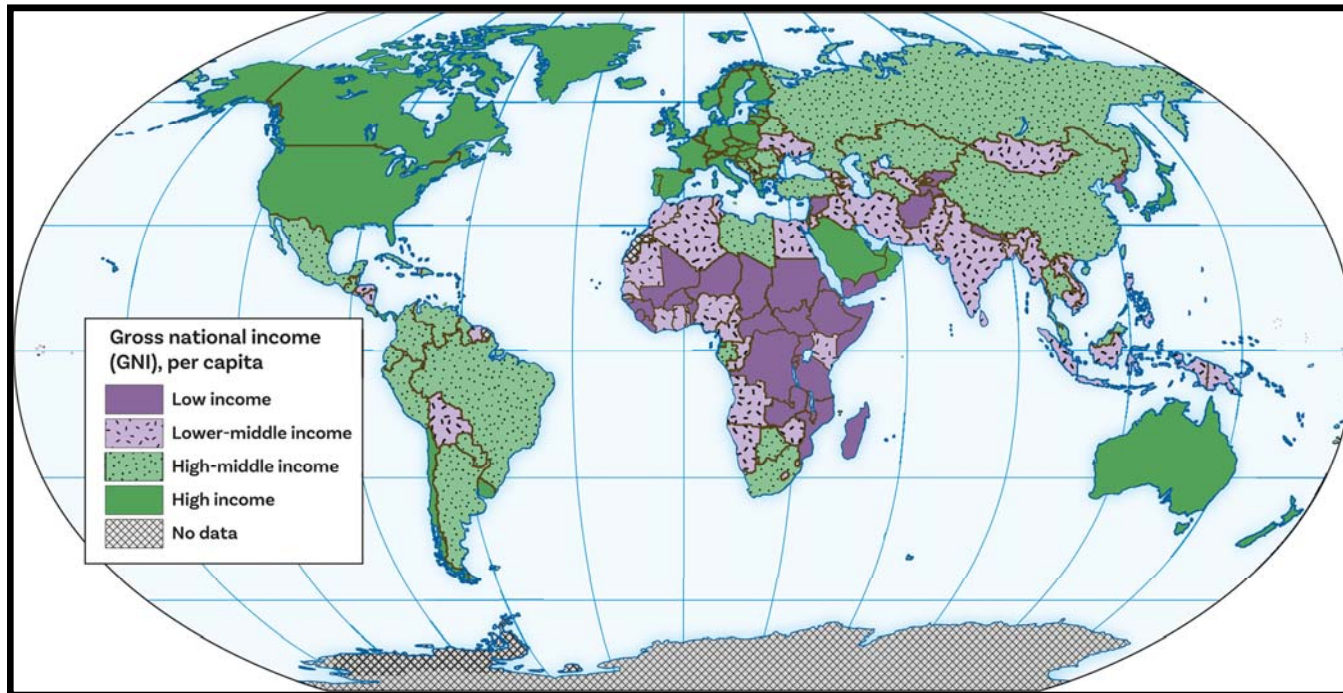
- Development:
- Per capita (per person) income?
- Proxy measures
 - GDP: *a monetary measure of the market value of all goods and services produced within a country over a given period*
 - GNI: *a monetary measure of the market value of goods and services produced within a country, plus income from investments abroad, over a given period*



Global Income Inequality: GNI (per capita)

► Example:

- At the global scale, measures such as these are commonly used to determine various levels of economic development
 - Global wealth:
 - Global poverty:



Global Income Inequality: PPP

► GNI per capita is problematic:

1. Formal vs informal economy
2. Variations within a country
3. Differences in cost of living

► An alternative: adjust for **purchasing power**

- **Purchasing Power Parity (PPP):** *a tool that measures the relative cost of a common market basket of goods and services for comparing cost of living between countries; useful in conjunction with aggregate macroeconomic measures of economic activity such as GDP per capita and GNI per capita*

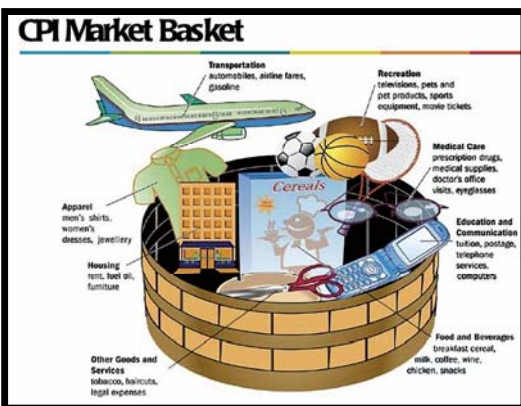
Global Income Inequality: PPP

► PPP: measures how much of a common “market basket” of goods and services each currency can purchase locally

- Example:

Country	Avg. Income	Diff.	Cost of Milk	Diff.	Cost of Living	Diff.
Ecuador	\$ 4,510		\$1.02		4,421 L	
Canada	\$41,950		\$2.25		18,644 L	

- Difference in average income



Global Income Inequality: PPP

► Impact?

- Compression
- Uneven economic prosperity
 - Recall core-periphery relationship (see Box 5.1)



Addis Ababa, Ethiopia



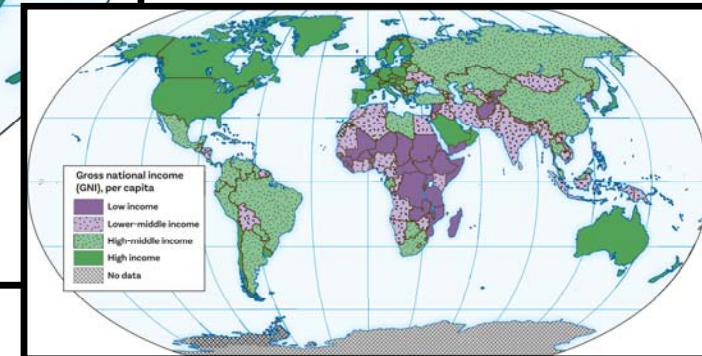
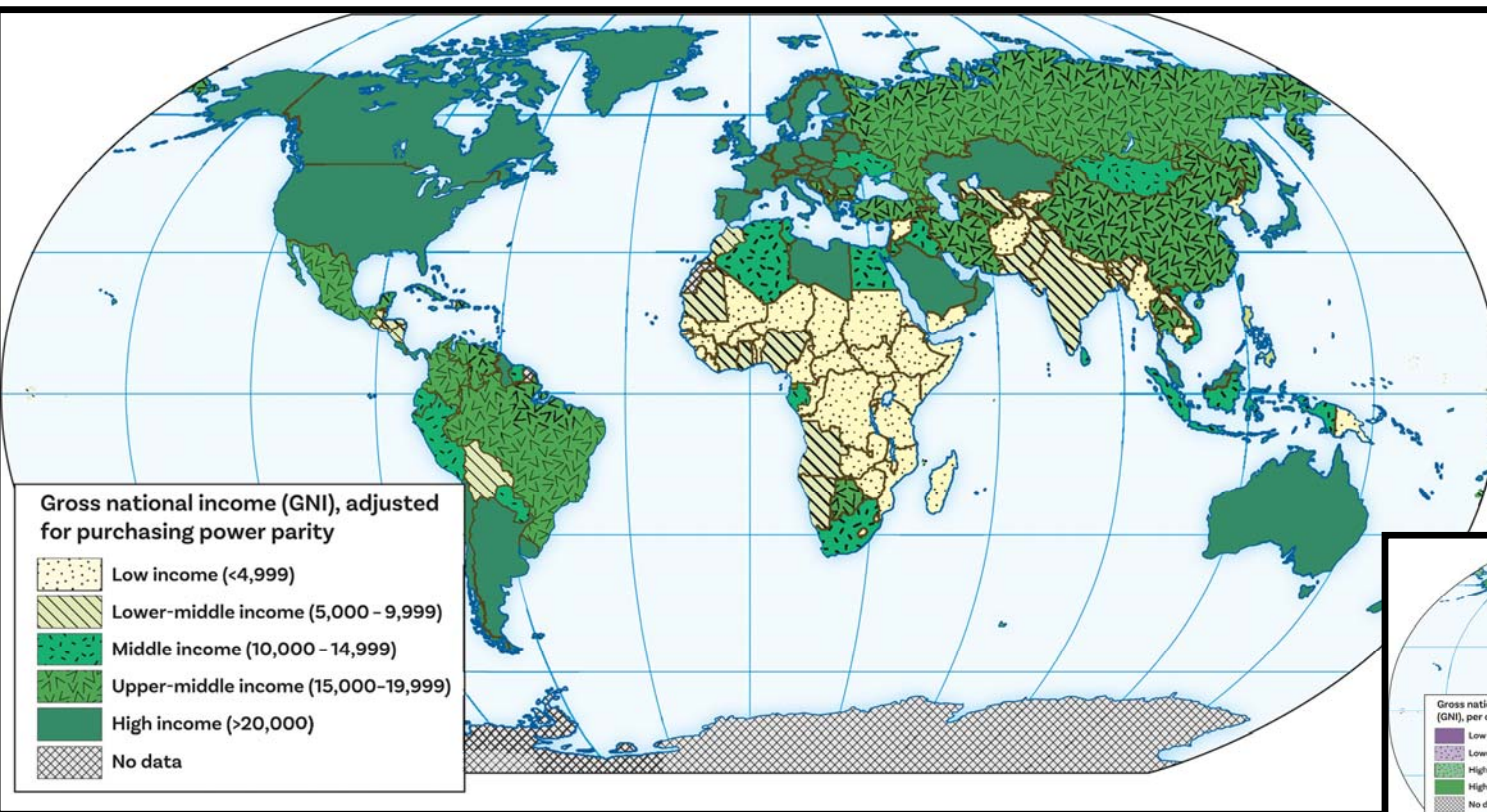
Colombo, Sri Lanka



Port-au-Prince, Haiti

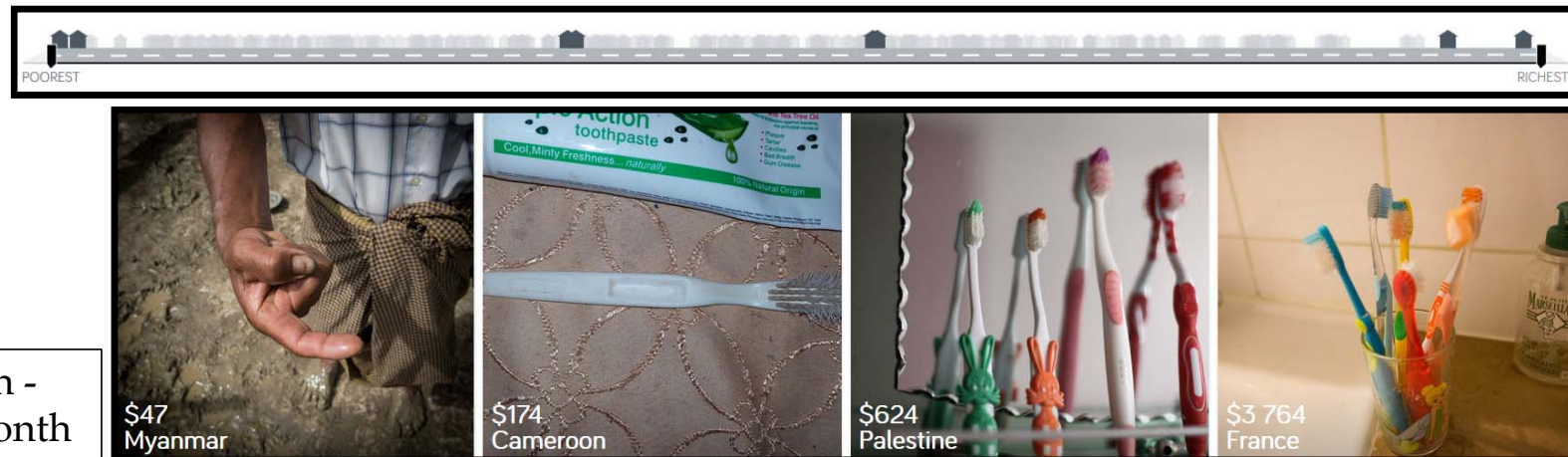
Global Income Inequality: GNI & PPP

► PPP:



Global Income Inequality: Alternatives

- ▶ Q. Can we think of income inequality in other ways?
 - GapMinder: How Many Are Rich & How Many Are Poor? (1:45)
- ▶ Q. But what does it mean, to live on less than \$1 per day vs. \$10 vs. more than \$100?
 - DollarStreet: What Does it Look Like to Live at Different Incomes?
- ▶ DollarStreet:



Brushing Teeth -
Income per Month

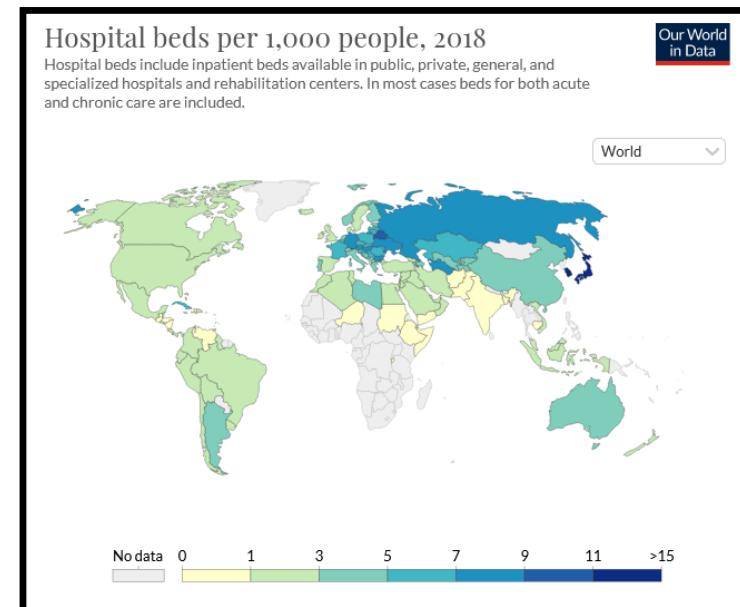
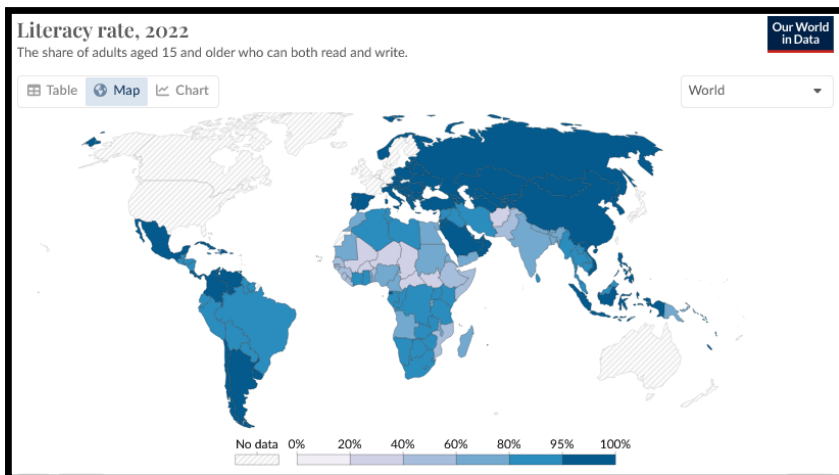
Measuring Development: Social Tools

- ▶ Economic measures assume that they are reliable surrogate measures of **social development**
 - What do we mean by “social development”
 - Why can we not just use economic measures?



Measuring Development: Social Tools

- Q. Is there a relationship between economic & social development?
- Measures of social development reflect significant disparities between the more & less developed worlds, e.g.,



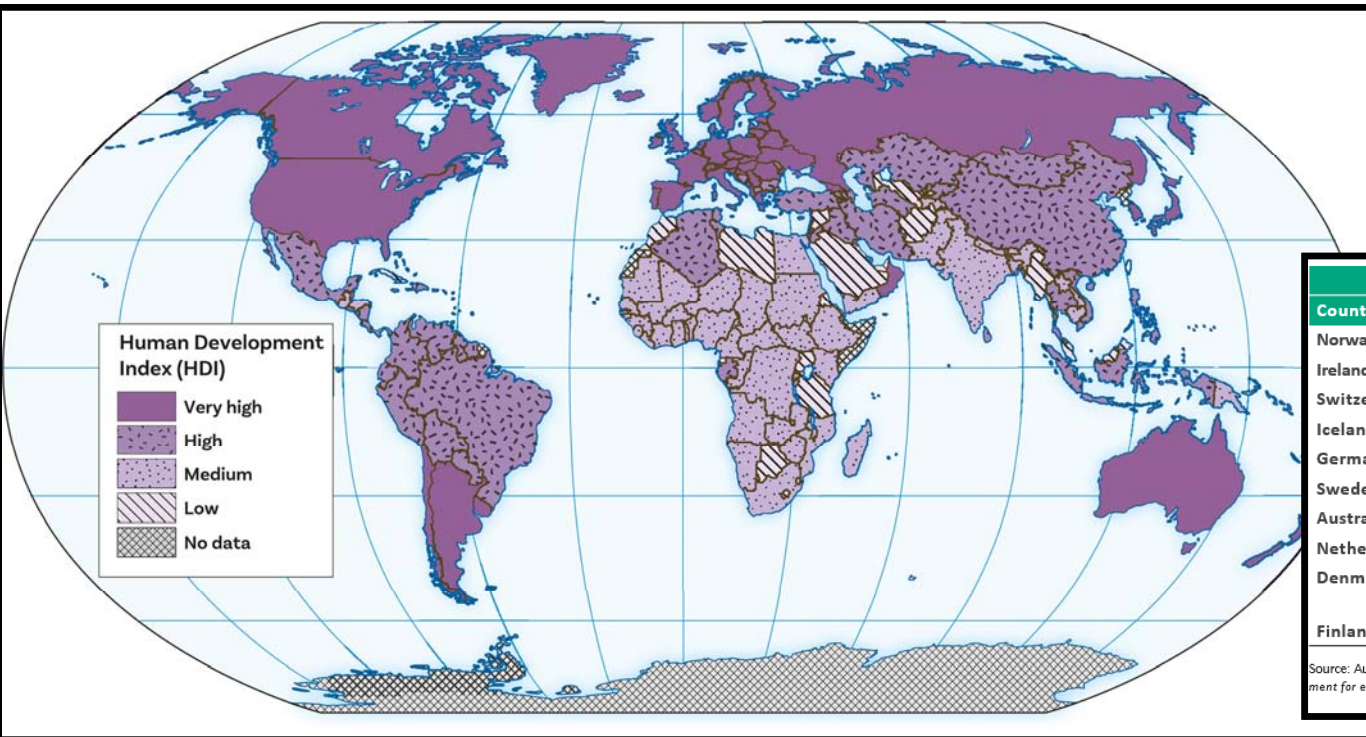
Measuring Development: Social & Economic Tools

- ▶ Combine measures of economic and social development
- ▶ Human Development Index (HDI): *a numerical measure of how well basic human needs are being met; a composite index incorporating health (life expectancy), education (years of schooling), and income (gross national income per capita)*
 - A general association exists between HDI and GNI pc

Global Social Inequality: HDI

► Human Development Index

- Does this provide us with a better measure of development?



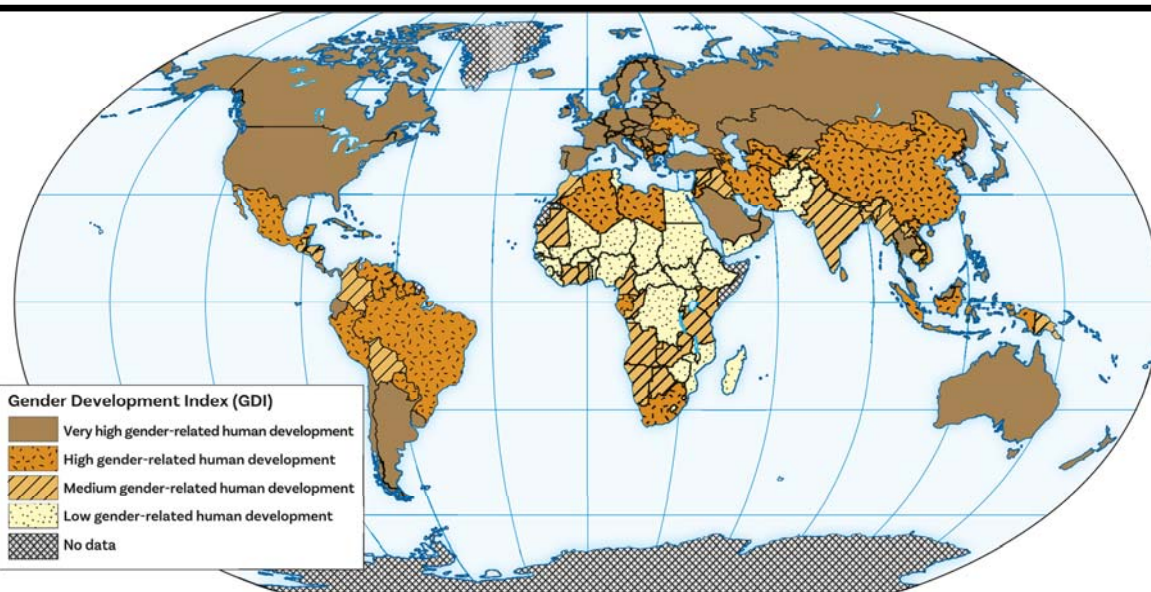
Top 10			Bottom 10		
Country	Rank	HDI Value	Country	Rank	HDI Value
Norway	1	0.957	Eritrea	180	0.459
Ireland	T2	0.955	Mozambique	181	0.456
Switzerland	T2	0.955	Burkina Faso	T182	0.452
Iceland	4	0.949	Sierra Leone	T182	0.452
Germany	5	0.947	Mali	184	0.434
Sweden	6	0.945	Burundi	T185	0.433
Australia	T7	0.944	South Sudan	T185	0.433
Netherlands	T7	0.944	Chad	187	0.398
Denmark	9	0.940	Central African Republic	188	0.397
Finland	10	0.938	Niger	189	0.394

Source: Author, using data from United Nations Development Program. 2020. *Human development report, 2020: Human development for everyone*. New York, NY: United Nations. Online: <http://hdr.undp.org/en/composite/HDI>.

Addressing Inequality: IHDI & GII

► Gender & Equality (more generally)

- Differential social and economic roles played by men & women
- Inequality (in general)



Top 10			Bottom 10		
Country	GII Rank	GII Value	Country	GII Rank	GII Value
Switzerland	1	0.025	Haiti	152	0.636
Denmark	2	0.038	Côte d'Ivoire	153	0.638
Sweden	3	0.039	Niger	154	0.642
Netherlands	T4	0.043	Sierra Leone	155	0.650
Belgium	T4	0.043	Afghanistan	156	0.655
Norway	6	0.045	Mali	157	0.671
Finland	7	0.047	Central African Republic	158	0.680
France	8	0.049	Chad	159	0.710
Iceland	9	0.058	Papua New Guinea	160	0.725
Slovenia	10	0.063	Yemen	161	0.795

Note: Countries not included in the source data set include North Korea, Somalia, and a number that are very small.

Source: United Nations Development Program. 2020. *Human development report, 2020: Human development and the Anthropocene*. New York, NY: United Nations.

Addressing Inequality: IHDI & GII

- What about accounting for less material evidence of development?
 - e.g.,
 - Difficult to quantitatively measure, but surely are just as important ...



Conclusion/Summary

- ▶ Clear spatial variations exist in terms of wealth and standard of living
- ▶ This unequal distribution has clear consequences
- ▶ Next Class:

